Pricing Structure Analysis: SOS Inventory vs. Katana

Objective:

Evaluate the Total Cost of Ownership (TCO) of SOS Inventory vs. Katana for Method CRM's hybrid inventory solution across the MWD vertical—factoring in company size, pricing tiers, and real usage data from Method's customer base.

Inventory Team Size Benchmark: Industry Research

To accurately compare cost structures, we first identified the typical number of unique daily active users engaging with inventory systems in MWD companies:

- **Small MWD:** Often just 1–3 users using inventory software regularly
- **Mid-sized MWD:** Typically have 10–25 daily inventory system users
- **Large Enterprise MWD:** At the high end (large distribution centers, big manufacturers), daily user counts can reach dozens or even into the hundreds of users, but this is proportional to having hundreds or thousands of employees.

Considering all business sizes together, the typical inventory management team remains relatively small. Most MWD companies will have well under 25 daily active users in their inventory/ERP system, and a great many will have fewer than 10.

In conclusion, a reasonable benchmark for the average number of unique daily inventory system users across all MWD company sizes is **~5 to 20** users (with smaller companies at the low end of that range and bigger ones at the higher end), with **10** as a reasonable mid-market average.

ChatGPT Prompt/Analysis

Method Internal Benchmark: Current Estimated MWD Team Size

Using Amplitude, we analyzed usage of the Items App—Method's current inventory management system—among MWD customers to benchmark team sizes from Jan 1, 2024 to Jan 1, 2025.

Methodology:

- We calculated the average number of unique daily users per account (762 accounts)
- Focused on accounts with at least one active user per day (29 accounts)
- This allowed us to isolate customers actively engaging with inventory workflows.

The analysis revealed a **mean team size of 2.5 daily users per MWD account**, indicating that inventory management is typically handled by **2 to 3 team members** in the average Method MWD customer.

Data Limitations

There are several limitations that suggest this figure underrepresents the true inventory user potential within MWD companies:

- Sample size bias: The 2.5 user average is based on only 3.8% of total MWD accounts from amplitude table—specifically, those with ≥1 daily user
- Usage distribution:
  - 62% (18 accounts) had fewer than 2 unique users/day
  - 24% (7 accounts) have between 2-3 unique users/day
  - 10% (3 accounts) have between 3-10 unique users/day
  - Only 1 account had more than 10 unique users/day
    This suggests limited engagement is the norm, but not necessarily because only 2–3 people manage inventory—it may reflect product limitations or workflow misalignment.
- It reflects *active engagement*, not potential adoption:
  Many companies may have more staff involved in inventory workflows who aren't using Method's Items App due to usability issues, insufficient feature coverage, or reliance on external systems.

Why We Chose SOS Plus and Katana Standard for Comparison

Plan	Why It Was Chosen
SOS Plus ($130/month)	The *Companion* plan supports only **1 warehouse** and lacks key inventory features, making it too limited for MWD customers. The **Plus plan** is the first tier that supports **multi-warehouse management**, aligns with hybrids native functionality, and enables more advanced workflows suitable for MWD's.
Katana Standard ($359/month)	The *Standard* plan includes **3 warehouses**, access to core integrations, and is the most cost-effective plan that matches the functional depth needed for MWD use cases and hybrid scalability. The *Starter* plan supports only 1 warehouse and might not be sufficient for all workflows.

TCO Breakdown by Company Size

Company Size	# of Users	SOS (Plus Plan)	Katana (Standard Plan)	Annual Cost Difference	Lower Cost Option
Method Benchmark	2.5	$130 (covers up to 3 users) → $1,560/yr	$359/mo → $4,308/yr	$2,748 less	✅ SOS
Small	5	$130 + $25×(5–3) = $180/mo → $2,160/yr	$4,308/yr	$2,148 less	✅ SOS
Mid	10	$130 + $25×(10–3) = $305/mo → $3,660/yr	$4,308/yr	$648 less	✅ SOS
Large	20	$130 + $25×(20–3) = $555/mo → $6,660/yr	$4,308/yr	$2,352 more	✅ Katana

Break-Even Point: At 13 users, SOS = $380, exceeding Katana's flat price

Analysis

Based on the cost comparison between SOS Plus and Katana Standard:

- SOS Inventory wins on price, especially for teams with fewer than 13 users. It is significantly more cost-effective for small and cost-conscious MWD teams.
- However, the cost gap narrows as team size grows, and Katana becomes the more economical option starting at 13 users, thanks to its flat-rate pricing.

That said, the internal benchmark of 2.5 daily users per MWD account—used to approximate Method MWD customer inventory team size—should be interpreted with caution. These findings suggest that the low user count is more a reflection of current product adoption than actual team size—and there may be latent demand that better functionality or integrations could unlock.

Conclusion

While SOS is the clear cost leader—especially for SMBs—Katana may offer greater long-term value for growing or more sophisticated teams due to its superior UX, ecosystem, robust features and scalability.